

Finance_policies

Finance Policies – Himanshu Pvt Limited

1. Introduction

The Finance policies at Himanshu Pvt Limited establish guidelines for financial management, accountability, and compliance. These policies apply to all employees involved in financial transactions, reporting, and resource management to ensure transparency, accuracy, and regulatory adherence.

2. Accounting & Record-Keeping

- All financial transactions must be recorded accurately and promptly in the company accounting system.
 - Employees responsible for accounting must maintain supporting documentation for all entries.
 - Ledger reconciliations must be performed monthly to ensure accuracy.
 - Any discrepancies or errors should be reported to the Finance Manager immediately.
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3. Budgeting & Financial Planning

- Annual budgets must be prepared by each department and approved by management.
 - Budget allocations should reflect operational priorities and strategic goals.
 - Departments are responsible for monitoring spending against approved budgets.
 - Any significant deviations require approval from the Finance Manager or senior management.
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4. Expense Management

- Employees must submit expense reports for reimbursement with valid receipts.
 - Only business-related expenses will be reimbursed. Personal expenses are not eligible.
 - Expense reports should be submitted within 30 days of the transaction.
 - Pre-approval from supervisors is required for high-value expenses above company thresholds.
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5. Travel & Accommodation Policies

- All business travel must be approved by the immediate supervisor and Finance Manager.
 - Employees should select cost-effective travel options while ensuring safety and efficiency.
 - Hotel bookings should be made in line with company guidelines.
 - Travel expenses must be documented with receipts and submitted for reimbursement.
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6. Payroll & Compensation

- Payroll processing is managed by the Finance and HR departments.
 - Salaries will be paid monthly on the designated payday.
 - Any discrepancies in salary should be reported immediately to HR and Finance.
 - Bonuses, incentives, and commissions are processed according to company policy and performance metrics.
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7. Vendor & Supplier Payments

- Payments to vendors and suppliers must follow approval workflows.
- Purchase orders must be created before initiating payments.

- Vendors must submit invoices with correct details for processing.
 - Timely payment is mandatory, while any disputes should be resolved before the payment deadline.
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8. Procurement & Purchasing Policies

- All procurement must follow company approval procedures.
 - Competitive bidding is encouraged for high-value purchases to ensure cost-effectiveness.
 - Employees must obtain approval for purchases exceeding defined thresholds.
 - Unauthorized procurement may lead to disciplinary action.
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9. Reimbursement Policies

- Employees are entitled to reimbursement for approved business expenses.
 - Reimbursement requests must include receipts, approval, and expense classification.
 - Claims without proper documentation may be rejected.
 - Finance will process reimbursements within a standard timeline (usually 15 working days).
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10. Cash Handling & Petty Cash

- Petty cash should be used only for minor business expenses.
 - Employees must maintain a detailed log of petty cash transactions.
 - All cash withdrawals and disbursements require approval from the Finance Manager.
 - Monthly reconciliation of petty cash is mandatory to avoid discrepancies.
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11. Tax Compliance

- The company ensures timely filing of all applicable taxes, including income tax, GST, and other statutory obligations.
 - Employees must provide necessary documentation for tax deductions at source (TDS) and claims.
 - Finance department monitors compliance with local and national tax laws.
 - Non-compliance may lead to penalties for the company and responsible individuals.
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12. Audit & Internal Controls

- Regular internal audits are conducted to verify financial transactions and compliance with policies.
 - Employees are expected to cooperate fully with auditors and provide accurate information.
 - Segregation of duties is maintained to reduce risk of fraud or errors.
 - Any irregularities must be reported immediately to the Finance Manager.
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13. Asset Management & Capital Expenditure

- All company assets, including equipment, software, and vehicles, must be recorded and tracked.
 - Capital expenditures require approval from senior management based on ROI analysis.
 - Employees are responsible for safeguarding company assets in their custody.
 - Asset disposal must follow approved procedures to ensure accountability.
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14. Financial Reporting

- Monthly, quarterly, and annual financial reports must be prepared accurately and submitted on time.
- Reports include profit and loss statements, balance sheets, cash flow statements, and budget variance reports.

- Finance team ensures compliance with accounting standards and statutory requirements.
 - Management relies on these reports for strategic decision-making.
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15. Confidentiality & Data Security

- Financial information is confidential and must not be shared externally without authorization.
 - Employees must follow data security guidelines to protect sensitive information.
 - Access to financial systems is restricted based on role and responsibility.
 - Unauthorized disclosure may result in disciplinary and legal actions.
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16. Risk Management & Fraud Prevention

- Employees must report any suspicious financial activities immediately.
 - Regular audits, reconciliations, and checks are conducted to mitigate risks.
 - Fraudulent activities are investigated, and offenders face strict consequences.
 - Internal controls are designed to prevent errors, misuse, or theft of company funds.
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17. Compliance with Legal & Regulatory Requirements

- All financial activities must comply with local, state, and national regulations.
 - Finance team monitors changes in laws that affect accounting, taxation, or financial reporting.
 - Employees must complete mandatory training on relevant regulations as required.
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18. Employee Training & Awareness

- Employees involved in finance must complete periodic training on policies, tools, and compliance requirements.
 - Training covers accounting standards, software usage, risk management, and fraud awareness.
 - Continuous improvement is encouraged to enhance efficiency and accuracy.
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19. Policy Review & Updates

- Finance policies are reviewed annually to reflect regulatory changes, operational requirements, and best practices.
 - Employees are notified of policy updates and may be required to acknowledge understanding.
 - Suggestions for policy improvement can be submitted to the Finance department at any time.
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20. FAQs (Optional Section for RAG Testing)

- How do I submit an expense report? → Use the Finance portal and attach all receipts.
 - Who approves business travel expenses? → Immediate supervisor and Finance Manager.
 - What is the reimbursement timeline? → Standard processing within 15 working days.
 - How do I report a financial discrepancy? → Notify the Finance Manager immediately with supporting documentation.
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